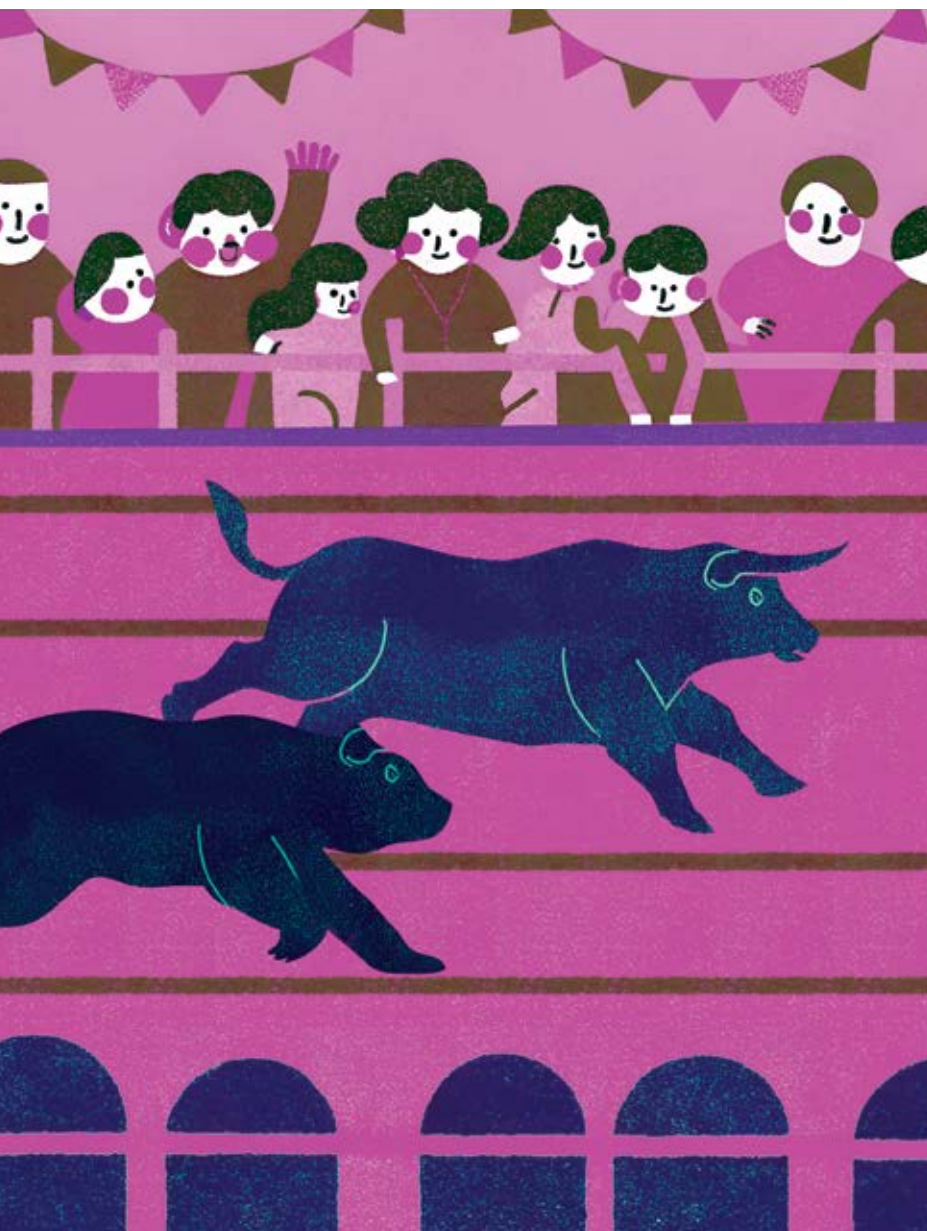


ILLUSTRATION BY **RAJ VERMA**

ago in human history, if you did not belong, you were history!

Human evolution has optimised our brain for survival and procreation. And if any human being went out of the tribe, he or she could not procreate for sure, and may not have been able to survive either.

We are the progeny of ances-

tors who continued to 'belong' and that remains hardwired into us humans—whatever we define as our tribe. That is why it is very uncomfortable to not fit in, and that is the core of the FOMO feeling.

Unfortunately, this wiring of the brain is not great for our investment portfolios.

The key in the market is understanding that no theme lasts forever. No country. No geography. No asset class. And within a country, no sectoral theme or even investment strategy (say, value vs growth). In fact, it can be mathematically proven that entering themes or strategies that have done well of late will systematically cause your portfolio to underperform.

Does that mean that you should always go against the trend? Not quite, because both positive and negative moves can last for a while.

Companies or industries can go through prolonged periods of doing well or otherwise.

The problem also is that human beings hold on to stories or narratives; so, if something is classified as a good company or a good theme, we tend to hold on to that even when facts change, either in terms of fundamentals or extreme valuations.

Similarly, when an area has been classified as a dog, most fund managers will not look at it even when the fundamentals change. That's where a systematic approach works.

For example, our artificial intelligence systems had flagged the turnaround in capital goods in October 2021 and we went overweight on the sector. Most human fund managers took another two years to realise that the fundamentals had changed for the sector, because in their minds it was a dog sector, as it had been for 12 long years.

In short, a sensible investment strategy involves ignoring all the noise in the outside world and using a systematic criterion to pick assets and stocks for your portfolio. A good investment strategy can be boring. **BT**

Views are personal